TechCorp Global Holdings Inc. – Form 10-Q

Quarterly Report for the Period Ended September 30, 2024 (Q3 2024)

Ticker: TCGB (NASDAQ) | Reporting Currency: USD in Millions (except per share amounts)

1. Executive Summary & Highlights

TechCorp delivered robust performance in Q3 2024, driven by accelerated enterprise adoption of our Cloud AI Platform and expansion in international software subscriptions. Total quarterly consolidated revenue reached **$4,850.0 million**, representing an increase of **14.2% year-over-year (YoY)** compared to $4,247.0 million in Q3 2023. Gross margin expanded by 180 basis points to **68.4%**. Operating income rose 21.5% to **$1,420.0 million**, reflecting disciplined operational execution despite continuing macroeconomic headwinds and selective foreign exchange pressures.

Condensed Consolidated Statements of Income (Unaudited)

Financial Metric ($ Millions)	Three Months Ended Sep 30, 2024	Three Months Ended Sep 30, 2023	YoY Change (%)
Cloud & AI Platform Revenue	$ 2,740.0	$ 2,190.0	+ 25.1 %
Enterprise Software Subscriptions	$ 1,380.0	$ 1,320.0	+ 4.5 %
Professional Consulting Services	$ 730.0	$ 737.0	- 1.0 %
Total Revenue	**$ 4,850.0**	**$ 4,247.0**	**+ 14.2 %**
Cost of Revenue	$ 1,532.0	$ 1,418.0	+ 8.0 %
Gross Profit	**$ 3,318.0**	**$ 2,829.0**	**+ 17.3 %**
Research & Development (R&D)	$ 980.0	$ 845.0	+ 16.0 %
Sales & Marketing (S&M)	$ 610.0	$ 530.0	+ 15.1 %
General & Administrative (G&A)	$ 308.0	$ 285.0	+ 8.1 %
Total Operating Expenses	$ 1,898.0	$ 1,660.0	+ 14.3 %
Operating Income (EBIT)	**$ 1,420.0**	**$ 1,169.0**	**+ 21.5 %**
Operating Margin	29.28 %	27.52 %	+ 176 bps
Income Before Income Taxes	$ 1,455.0	$ 1,185.0	+ 22.8 %
Provision for Income Taxes	$ 262.0	$ 213.0	+ 23.0 %
Net Income	**$ 1,193.0**	**$ 972.0**	**+ 22.7 %**
Diluted EPS ($)	$ 1.84	$ 1.48	+ 24.3 %

Source: TechCorp Q3 2024 Financial Filing, Item 1, Page 4.

TechCorp Global Holdings Inc. – Form 10-Q (Continued)

2. Condensed Consolidated Balance Sheets (Unaudited)

Balance Sheet Line Item ($ Millions)	As of September 30, 2024	As of December 31, 2023
Cash and Cash Equivalents	$ 8,420.0	$ 6,850.0
Short-Term Marketable Securities	$ 14,100.0	$ 13,200.0
Accounts Receivable, Net	$ 3,850.0	$ 3,410.0
Inventories & Prepaids	**$ 1,240.0**	**$ 1,090.0**
Total Current Assets	$ 27,610.0	$ 24,550.0
Property, Plant & Equipment (PPE), Net	$ 18,320.0	$ 16,100.0
Goodwill & Intangible Assets	$ 9,840.0	$ 9,920.0
Other Non-Current Assets	**$ 4,110.0**	**$ 3,880.0**
Total Assets	$ 59,880.0	$ 54,450.0
Accounts Payable	$ 2,150.0	$ 1,980.0
Accrued Expenses & Other Current Liabilities	$ 4,680.0	$ 4,320.0
Current Portion of Long-Term Debt	**$ 1,200.0**	**$ 800.0**
Total Current Liabilities	$ 8,030.0	$ 7,100.0
Long-Term Debt	$ 12,500.0	$ 13,100.0
Other Non-Current Liabilities	**$ 5,340.0**	**$ 4,950.0**
Total Liabilities	**$ 25,870.0**	**$ 25,150.0**
Total Stockholders' Equity	$ 34,010.0	$ 29,300.0
Total Liabilities and Stockholders' Equity	$ 59,880.0	$ 54,450.0

Source: TechCorp Q3 2024 Financial Filing, Item 1, Page 6.

3. Liquidity, Solvency & Capital Allocation Ratios

Current Ratio: As of September 30, 2024, our Current Ratio stood at **3.44x** ($27,610M / $8,030M) compared to 3.46x as of December 31, 2023, reflecting extraordinary short-term liquidity.
Debt-to-Equity Ratio: Total Debt of $13,700M over Stockholders' Equity of $34,010M yields a conservative D/E ratio of **0.40x**.
Free Cash Flow (FCF): Operating cash flow for the nine months ended September 30, 2024 reached $4,650M. Capital expenditures totaled $1,280M (principally GPU infrastructure and high-efficiency datacenters), yielding Free Cash Flow of **$3,370M**.